

The Carvana Case: Why Operational Due Diligence Matters Before the Fraud Becomes Obvious

Carvana is widely known as a company that tried to change how Americans buy used cars. Its public image is simple and attractive: buying a used car should not feel like walking into a dealership from another era. Instead of spending a weekend negotiating across a desk, customers could search online, choose a vehicle, arrange financing, and have the car delivered to their home. The company's car vending



machines became a powerful symbol of that promise. They made Carvana look less like a traditional dealer and more like a technology company solving an old consumer problem.

In a market as large and fragmented as used vehicle retail, the idea of a cleaner, faster, digital model was easy to understand. Consumers liked the convenience. Investors liked the scale story. Management presented the company as a modern platform in an industry that had long been inefficient. For a time, the market accepted that story.

Then the business nearly broke. After the pandemic period, Carvana's stock collapsed, it was carrying heavy debt, high operating costs, and pressure from a changing used car market. What once looked like a disruptive growth company began to look like a business that had expanded faster than its economics could support.

But then the story changed again. Carvana staged a dramatic recovery. Its stock rebounded sharply, and management pointed to improved execution, stronger efficiency, and better financial results. To many observers, the company appeared to have completed a rare turnaround. A business that had once looked close to failure was now being discussed again as a major winner in online auto retail.

That is the version of the story that was easy to see from the outside. However, behind the turnaround, there was a complex financial structure that outside investors could not easily see, as Hindenburg research described Carvana's recovery as an accounting mirage, pointing to loan sale gains, lax underwriting, related party transactions.

In January 2025, short-seller Hindenburg Research published a detailed report on Carvana, the \$44 billion online used car platform. The report described related-party accounting games, lax

underwriting, conflicted governance, and a pattern of insider selling that appeared to repeat itself with surgical precision twice.

By the time the report was published, the CEO's father had sold more than \$5 billion in Carvana stock across two cycles. Each time, the CEO was publicly optimistic. Each time, the stock eventually collapsed.

That is why Carvana is a due diligence case, not just a market story. The issue was not whether the company had real cars, customers, or revenue. It did. The issue was whether its reported recovery reflected a self-sustaining business, or whether profits appeared in the public company while credit risk, related party exposure, and financial pressure sat elsewhere.

Hence, this article is not about whether Carvana committed fraud. That question belongs to the courts. This article is about whether a structured operational due diligence review would have identified these risks before they became headlines.

The answer is yes. And the way it would have done so has direct implications for how allocators should think about due diligence today.

Governance Was Compromised From the Start

Carvana's pitch was compelling. An online platform disrupting a fragmented, inefficient used car market. A founder-led business with bold ambitions. A stock that recovered 284% in 2024 after nearly going bankrupt in 2022.

However, the company and management structure was compromised at the very beginning. Start with the board. Carvana's audit committee, the body responsible for independent financial oversight included two individuals who had previously served on the board of DriveTime, a private used car dealership run by the CEO's father, Ernest Garcia II.

One audit committee member, Greg Sullivan, had been suspended by the New York Stock Exchange in 1992 for sending money to Ernest Garcia II in violation of a prohibition order. That history was not prominently disclosed in Carvana's filings.

The audit committee chairman, Ira Platt, had worked as a banker for DriveTime stretching back to 1998 and later served as a DriveTime board member before joining Carvana's board at the time of its IPO.

Ernest Garcia II himself, is the largest shareholder and operator of the primary related-party entity and had pleaded guilty to felony bank fraud in 1990 over charges involving sham accounting transactions and falsified letters to auditors. His son has been Carvana's CEO since inception.

None of this required investigative skill to find. But it required someone to look and to treat governance structure as a substantive risk area, not a formality. In any institutional due diligence review, board composition, director independence, and related-party relationships are examined

specifically because conflicts at the governance level tend to enable problems everywhere else. Carvana's board structure would have generated material flags from the first page.

The Related-Party Architecture Nobody Talked About

The deeper operational risk at Carvana was structural. Multiple critical business functions ran through DriveTime, which is the private company controlled by the CEO's father who created a web of transactions that were difficult for outside investors to evaluate.

Carvana's extended warranties were administered by DriveTime. Carvana recognized commission revenue and profit-sharing from these arrangements upfront. A former Carvana director described the terms as "pretty generous" back to Carvana by adding that the related-party structure allowed them to "pull as much of that profit forward" as possible. Carvana's warranty income per unit was estimated to be roughly 58% higher than its closest comparable peer.

Carvana's auto loans were serviced by a DriveTime affiliate. This arrangement was identified as a dealbreaker by at least one prospective financing partner. In 2024, Carvana sold \$800 million in loans to what it described in SEC filings as an "unrelated third party." Lien filings and corporate registration records suggest the buyer was a trust affiliated with Cerberus Capital Management, where a sitting Carvana board member served as Chairman of Global Investments. Carvana did not mention the new buyer on either of its earnings calls.

Each of these transactions, taken individually, might be explainable. Together, they describe a business where a private entity controlled by the founding family sat at the center of warranty economics, inventory management, loan servicing, and potentially financing, with limited independent oversight of any of it.

Related-party review is a core component of operational due diligence precisely because this kind of architecture is not always visible in a DDQ or an IR presentation. It requires document level examination such as audited financials, regulatory filings, service provider agreements, and counterparty verification. That work, done properly, would have surfaced these relationships and prompted structured questions that deserve clear answers before capital is committed.

Insider Behavior as an Operational Signal

Between August 2020 and August 2021, Ernest Garcia II sold \$3.6 billion in Carvana stock while his son's company was publicly projecting record growth. Within sixteen months of the last sale, the stock had dropped 99% and Carvana was facing bankruptcy concerns.

The pattern repeated. During 2023 and 2024, with the CEO again touting exceptional results, Garcia II sold another \$1.4 billion. In July 2023, the Garcias purchased \$126 million in Carvana stock. Two days later, the company announced its "best quarter in company history," driven by a surge in loan sales that had been artificially suppressed the prior quarter.

Due diligence does not adjudicate insider intent. But it does evaluate key person concentration, succession risk, and whether control structures create asymmetric exposure for outside investors. When a single family controls the CEO role, the largest shareholder position, the primary service provider, and the loan servicer simultaneously, that concentration is an operational risk regardless of whether fraud is ever proven.

Financial Reporting Quality: The Questions Due Diligence Asks

Due diligence does not audit financial statements. But it evaluates whether management's reported results are supported by consistent, verifiable operational evidence and whether accounting policies are transparent, conservative, and comparable to industry peers.

At Carvana, several areas would have warranted structured scrutiny.

Gain on loan sales represented 2.2 times net income over the nine months prior to the Hindenburg report. This is not inherently disqualifying, but it raises a fundamental sustainability question that if the primary driver of reported profitability is the ability to sell risky loans to third parties, how durable is that model and who are those third parties?

Carvana designated all loans on its balance sheet as "held for sale," which allowed it to avoid booking credit loss reserves at origination. A former director called this "a relatively aggressive accounting practice." Loans held on the balance sheet grew 50% between 2021 and late 2024, even as retail unit sales declined.

Loan extensions granted by the related-party servicer were increasing at a rate that exceeded every other subprime auto issuer tracked by S&P, while most peers saw extensions decline. Delinquencies across Carvana's supposedly prime borrowers ran at more than four times the industry average.

None of these data points require predicting outcomes. They are the inputs to a structured conversation, one that an institutional allocator should be having with any manager before committing capital.

What Due Diligence Is Actually Built to Do

The Carvana case is extreme. Most managers do not have a convicted felon as their largest shareholder and primary service provider. Most audit committees do not include individuals with documented ties to related-party fraud.

But the underlying risk categories, such as governance conflicts, related-party opacity, key person concentration, reporting quality concerns, and service provider independence, exist across the manager universe at every size level. They are more common in emerging managers where infrastructure is still being built and where institutional oversight is less consistent.

The Carvana case should matter to anyone conducting due diligence on asset managers. The facts are different, but the principle is the same. Investors should not accept reported performance, manager reputation, or growth narratives without understanding the structure underneath.

Imagine a fund manager reporting attractive returns from a portfolio of subprime auto loans. Now imagine that those loans were sourced from a related party, serviced by a related party, valued using assumptions that investors cannot easily verify, and supported by counterparties with undisclosed connections to the manager. What would the fund's investors think when they learn that the assets driving their returns came from a related party structure where credit quality, pricing, servicing, and risk transfer were not independently tested?

That is the link to asset manager due diligence. A manager can present strong performance while risk is hidden in valuation methods, affiliated transactions, weak service providers, concentrated control, or opaque counterparties. Investors need to know not only what the return was, but how it was generated, who touched the assets, who valued them, who serviced them, and who stood to benefit.

The Carvana story is a reminder that serious risks often become obvious only after they have already damaged investors. Due diligence exists to ask the uncomfortable questions earlier. It traces the relationships, tests the economics, challenges the governance, and determines whether performance can be trusted before capital moves.